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Case Number: 25SMCV06536 Hearing Date: July 15, 2026 Dept: N

TENTATIVE RULING

Defendants Sliver VR Technologies, Inc., Theta Labs, Inc., and Mitchell Liu's Motion to Transfer Venue to Santa Clara County is GRANTED.

Pursuant to Code of Civil Procedure section 399, all required costs and fees of transfer shall be paid by Plaintiff Jerry Kowal and Plaintiff's counsel within five (5) days after service of notice of the transfer order.

Defendants Sliver VR Technologies, Inc., Theta Labs, Inc., and Mitchell Liu's Request for Attorney Fees is DENIED.

Defendants Sliver VR Technologies, Inc., Theta Labs, Inc., and Mitchell Liu to give notice.

Plaintiff alleges in the complaint that venue is proper in Los Angeles because the acts and omissions giving rise to his claims occurred in Los Angeles, and at least one defendant resides or maintains a business presence here. (Compl. ¶ 9.) Notably, neither the complaint nor the opposition to this motion shed any light on which defendant is alleged to reside or maintain a business presence in Los Angeles, and Defendants evidence shows that all Defendants are residents of Santa Clara County. (Mot., Liu Decl. ¶¶ 3, 6, 7.) Moreover, the present action is one properly classified as a "mixed action." "In a mixed action, a plaintiff alleges two or more causes of action each of which is governed by a different venue statute. Or, two or more defendants are named who are subject to different venue standards." (Brown v. Superior Court(1984) 37 Cal.3d 477, 488.) "In cases with mixed causes of action, a motion for change of venue must be granted on the entire complaint if the defendant is entitled to a change of venue on any one cause of action." (Ibid.)

Where even one claim is "personal and transitory," the defendants are entitled to a change of venue, regardless of how many other causes of action in the complaint may not be subject to a venue change. (Rosen v. Kessler (1956) 145 Cal.App.2d 676, 683.) The complaint makes clear that Plaintiff's claims for breach of contract and breach of the implied covenant of good faith and fair dealing are person and transitory, such that venue is only proper as to those claims in the county where at least one defendant resides. (Code Civ. Proc., § 395, subd. (a) ["[e]xcept as otherwise provided by law and subject to the power of the court to transfer actions or proceedings as provided in this title, the superior court in the county where the defendants or some of them reside at the commencement of the action is the proper court for the trial of the action"].) Further, Plaintiff chose to bring this action against both corporate defendants and an individual defendant, and it is well established that "when a plaintiff brings an action against several defendants, both individual and corporate, in a county in which none of the defendants reside, an individual defendant has the right to change venue to the county of his or her residence," even if the corporate defendant may be sued elsewhere. (Brown v. Superior Court, supra, 37 Cal.3d at p. 484, fn. 6.)

Plaintiff does not dispute any of these arguments. Instead, he focuses on arguing that Defendants forfeited their right to a transfer because of their delay and litigation conduct. This argument is not well taken. Defendants were entitled to change their mind on filing a motion to compel arbitration, just as they were entitled to decline Plaintiff's request that they waive their right to file such a motion if he stipulated to a transfer of this action. This motion was filed less than four months after this action was filed, which does not support a conclusion that Defendants delayed in so moving. They were also entitled to a stay while this motion was pending, and they were not required to participate in discovery in the meantime. Thus, Plaintiff's arguments against transferring this action are unavailing. Further, Defendants' motion papers make clear that 31 out of 37 employees of the corporate entities reside in Santa Clara (Mot., Liu Decl. ¶ 12), the documents are located in Santa Clara (Mot., Liu Decl. ¶ 11), and the purported events at issue in this action likely occurred in Santa Clara (Mot., Liu Decl. ¶¶ 10-14).

For these reasons, the Court finds it is proper to transfer this action to Santa Clara County. Accordingly, Defendants Sliver VR Technologies, Inc., Theta Labs, Inc., and Mitchell Liu's Motion to Transfer Venue to Santa Clara County is GRANTED. Pursuant to Code of Civil Procedure section 399, all required costs and fees of transfer shall be paid by Plaintiff Jerry Kowal and Plaintiff's counsel within five (5) days after service of notice of the transfer order. Insofar as Defendants request an award of attorney fees against Plaintiff's counsel for filing this motion pursuant to Code of Civil Procedure section 396b, subdivision (b), the Court lacks a basis to conclude that this action was filed here in bad faith, particularly because Plaintiff offered to stipulate to change of venue, even if the terms of that stipulation were not accepted; thus, Defendants Sliver VR Technologies, Inc., Theta Labs, Inc., and Mitchell Liu's Request for Attorney Fees is DENIED.